25NNCV01478 25NNCV01478

County: los-angeles

Division: Civil Law and Motion

Department: E

Hearing date: 2026-08-21

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=GLN%2CE%2C08%2F21%2F2026

Source SHA-256: 0d5e1cf602619d6b0f46caaf0d48cf0d5bb409b4940346b339bee650761a6296

Case Number: 25NNCV01478 Hearing Date: August 21, 2026 Dept: E

Case No:

25NNCV01478

Hearing Date: 08/21/2026 – 8:30 a.m.

Trial

Date: UNSET

Case

Name: SELMA SAX, TRUSTEE OF THE ELLIOT AND SELMA SAX LIVING TRUST, Derivatively as a Creditor On Behalf of One Athletics, Inc., a California Nonprofit Public Benefit Corporation v. ONE ATHLETICS, INC., a California Nonprofit Public Benefit Corporation; TANYA BROSNAN, an individual; ALEXANDER WECHSLER, an individual; SEAN BROSNAN, an individual; PHILIP LUECK, an individual; PRIVATE PUBLISHER, a business entity; and DOES 1 through 80, inclusive

TENTATIVE RULING ON DEMURRER

PROCEDURAL

Moving Party: Defendants, Tanya Brosnan; Alexander Wechsler; and Sean Brosnan

Responding Party: Plaintiff, Selma Sax, Trustee of the Elliot and Selma Sax Living Trust, and Derivatively as a Creditor on Behalf of One Athletics, Inc.

Moving Papers: Demurrer;

Notice; Memorandum; Request for Judicial Notice; Declaration of Ashley M. Payne

Opposition Papers: Opposition

Reply Papers: Reply; Evidentiary
Objections to Opposition; Proposed Order on Evidentiary Objections

RELIEF REQUESTED

Defendants – (1) Tanya Brosnan; (2) Alexander Wechsler; and (3) Sean Brosnan – demur to the FAC on the following grounds:

1.
Defendants Tanya Brosnan, Alexander Wechsler, and Sean Brosnan (collectively, the "Moving Defendants") demur to the entire First Amended Complaint under Code of Civil Procedure Section 430.10, subdivision (b) because Plaintiff Selma Sax, as Trustee of the Elliot and Selma Sax Living Trust, lacks capacity to sue the Moving Defendants derivatively as a creditor on behalf of the nonprofit public benefit corporation One Athletics, Inc. ("OAI") in that creditors cannot bring derivative actions. (Corp. Code section 5710.)

2. The
Moving Defendants demur to the First Cause of Action under Code of Civil Procedure Section 430.01, subdivision (e) because it fails to state facts sufficient to constitute a cause of action with the specificity required under the heightened pleading standards for fraud.

3. The
Moving Defendants additionally demur to the First Cause of Action under Code of Civil Procedure Section 430.01, subdivision (f) because it uncertain in that it fails to sufficiently identify the alleged fraudulent conduct of each Defendant.

4.
Defendant A. Wechsler additionally demurs to the First Cause of Action under Code of Civil Procedure Section 430.01, subdivision (e) because it fails to state facts sufficient to constitute a cause of action against him in that the allegations fail to allege wrongful conduct by him with respect to the alleged fraud.

5. The

Moving Defendants demur to the Second Cause of Action under Code of Civil Procedure Section 430.01, subdivision (e) because it fails to state facts sufficient to constitute a cause of action in that it does not allege any agreements to which the Moving Defendants are parties in their personal capacities, and in that it impermissibly seeks to impose and enforce liability for unwritten contractual obligations beyond those contained in the express agreements.

6. Defendant

A. Wechsler additionally demurs to the Second Cause of Action under Code of Civil Procedure Section 430.01, subdivision (e) because it fails to state facts sufficient to constitute a cause of action against him in that the allegations do not allege that this defendant was a member of the Board of Directors when the alleged wrongful conduct occurred.

7. The

Moving Defendants demur to the Third Cause of Action under Code of Civil Procedure Section 430.01, subdivision (e) because it fails to state facts sufficient to constitute a cause of action against Defendants in that the allegations do not allege facts beyond mere breach of contract, and in that it impermissibly seeks to impose and enforce liability for unwritten contractual obligations beyond those contained in the express agreements.

8. The

Moving Defendants demur to the Fourth Cause of Action under Code of Civil Procedure Section 430.01, subdivision (b) because the right of action and recovery, if such right exists at all, belong to the Trust and Plaintiff, as Trustee, has not sued in the Trust’s right.

9. The

Moving Defendants demur to the Fifth Cause of Action under Code of Civil Procedure Section 430.01(e) because Plaintiff has an adequate remedy at law, Plaintiff does not allege an ownership interest in OAI, and because Plaintiff does not allege OAI is winding down its operations pursuant to Corporations Code section 6719.

10. The

Moving Defendants demur to the Sixth Cause of Action under Code of Civil Procedure Section 430.01, subdivision (b) because Plaintiff does not allege an ownership interest in OAI.

11. The
Moving Defendants demur to the Seventh Cause of Action under Code of Civil Procedure Section 430.01, subdivision (e) because it fails to state facts sufficient to constitute a cause of action against the Moving Defendants in that Defendants do not owe fiduciary duties to Plaintiff.

12. The
Moving Defendants demur to the Eighth Cause of Action under Code of Civil Procedure Section 430.01, subdivision (e) because Plaintiff is not suing in the Trust's right, and in that Plaintiff fails to allege unfair practices committed by the Moving Defendants.

13. The
Moving Defendants demur to the Ninth Cause of Action under Code of Civil Procedure Section 430.01, subdivision (e) because Plaintiff does not allege OAI is winding down its operations pursuant to Corporations Code section 6719, and in that it fails to allege facts supporting the relief sought on any other theory.

14. The
Moving Defendants demur to the Tenth Cause of Action under Code of Civil Procedure Section 430.01, subdivision (e) because it fails to state facts sufficient to constitute a cause of action against the Moving Defendants in that the Moving Defendants are not winding up a corporation as defined in Corporations Code 6179. Furthermore, the Tenth Cause of Action fails to state facts to support a declaratory relief action under Code of Civil Procedure section 1060, rather than an action for collection of a debt.

(Dem., p. 2-4.)

MEET & CONFER

"Before filing a demurrer pursuant to this
chapter, the demurring party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer. If an amended complaint, cross-complaint, or answer is filed, the responding party shall meet

and confer again with the party who filed the amended pleading before filing a demurrer to the amended pleading. ” (CCP, § 430.41(a).)

Failure to sufficiently meet and confer is not grounds to overrule or sustain a demurrer. (CCP, § 430.41(a)(4).)

Here, Defendants’ counsel alleges that a meet and confer occurred. (Payne Decl., ¶¶ 2-4.)

LEGAL STANDARDS FOR DEMURRERS

Demurrer – Sufficiency

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda, (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law ….” (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.)

A demurrer tests the pleadings alone and not the evidence or other extrinsic matters; therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Proc., §§ 430.30, 430.70.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

The general rule is that the plaintiff need only allege ultimate facts, not evidentiary facts. (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) “All that is required of a plaintiff, as a matter of pleading … is that his complaint set forth the essential facts of the case with reasonable precision and with sufficient particularity to acquaint the defendant with the nature, source and extent of his cause of action.” (Rannard v. Lockheed Aircraft Corp. (1945) 26 Cal.2d 149, 156-157.)

On demurrer, a trial court has an independent duty to “determine whether or not the … complaint alleges facts sufficient to state a cause of action under any legal theory.” (Das v. Bank of America, N.A. (2010) 186 Cal.App.4th 727, 734.)

Demurrers do not lie as to only parts of causes of action, where some valid claim is alleged but “must dispose of an entire cause of action to be sustained.” (Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119.) “Generally it is an abuse of discretion to sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment.” (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.)

Demurrer – Uncertainty

A special demurrer for uncertainty, CCP section 430.10(f), is disfavored and will only be sustained where the pleading is so bad that defendant cannot reasonably respond—i.e., cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him/her. (Khoury v. Maly’s of Calif., Inc. (1993) 14 Cal.App.4th 612, 616.) Moreover, even if the pleading is somewhat vague, “ambiguities can be clarified under modern discovery procedures.” (Ibid.)

TENTATIVE RULING DEMURRER

Preliminary – Issue 1

Plaintiff’s original complaint was filed on 3/6/2025.

On 7/17/2025, Plaintiff filed the First Amended Complaint (FAC).

By and large, the FAC, moving papers, opposition papers, and reply papers are not models of clarity.

Defendants’ moving papers border on incomprehensibility.

Defendants
make several arguments and legal conclusions without citation to legal authority.

Further,
on many occasions, it is entirely unclear why Defendants are making the arguments they are making because Defendants fail to explain the legal standard that determines whether or not their arguments have merit under the law.

For
example, many of Defendants' arguments are based on failure to state facts sufficient to constitute a cause of action.

When
Defendants are demurring on the basis of failure to state facts sufficient to constitute a cause of action, the Court would have imagined that Defendants would have identified each cause of action, cited to legal authority explaining what the elements are for those causes of action, and then explained what element, or elements, Plaintiff failed to allege for each cause of action.

Likewise,
the Court would have imagined that Plaintiff's opposition would have identified each cause of action, cited to legal authority explaining what the elements are for those causes of action, and then explained how the Plaintiff alleges each element for each cause of action.

The parties' papers, unfortunately, do
not explain these things.

Plaintiff's
opposition is not much better than Defendants' moving papers.

On
many occasions, Plaintiff also fails to explain the legal standard that determines whether or not Plaintiff's arguments have merit.

Further,
on many occasions, Plaintiff appears to concede it did not allege certain things in the FAC.

At the hearing, the Court will hear argument as to whether or not it should simply sustain the demurrer in its entirety and grant leave to amend based on the incomprehensibility of both parties' arguments. What do the parties want the Court to do when they both make arguments that are not based on citations to legal authority? Further, what do the parties want the Court to do when, on many occasions, the Court cannot even understand the parties' arguments?

While the Court will likely sustain the entire demurrer and grant leave to amend, the Court addresses some potential issues that are to be discussed at the hearing.

Standing

Plaintiff's FAC is not the model of clarity.

The caption of the FAC indicates that the Plaintiff is "SELMA SAX, Trustee of the Elliot and Selma Sax Living Trust, Derivatively as a Creditor On Behalf of One Athletics, Inc., a California Nonprofit Public Benefit Corporation."

However, the first paragraph of the FAC indicates that Plaintiff is "Trustee of the Elliot and Selma Sax Inter Vivos Trust (the "Trust")." (FAC, ¶ 1.)

Generally speaking, Plaintiff appears to be alleging that she gave Defendant, One Athletics, Inc. (OAI), money as either an investment, loan, or donation so a literary work could be written and then later sold. (See FAC generally.) Plaintiff appears to allege that OAI was the alter ego of Defendants, Tanya, Sean, and Alexander Wechsler. (See FAC generally.) Further, Plaintiff appears to allege Plaintiff was defrauded, and contracts were breached, because Defendants did not use the money they were given for the intended purpose of the investments. (See FAC generally.)

Defendants argue that Plaintiff lacks standing for the entire action because Plaintiff attempts to bring this action derivatively as a creditor of OAI.

The
Court to hear argument for the reasons explained below.

Although
the caption of the FAC indicates that Plaintiff is “SELMA SAX, Trustee of the Elliot and Selma Sax Living Trust, Derivatively as a Creditor On Behalf of One Athletics, Inc., a California Nonprofit Public Benefit Corporation,” which uses the word derivatively, when reading the FAC in its entirety, and Paragraph 1 of the FAC which states that Plaintiff is “Trustee of the Elliot and Selma Sax Inter Vivos Trust (the "Trust"),” the Court fails to see how Defendants are arriving at the conclusion that Plaintiff lacks standing under the theory that the action is being brought derivatively as a creditor of OAI.

To
support Defendants’ argument that Plaintiff lacks standing as a creditor of OAI, Defendants cite to Corp. Code § 5710(b).

In
relevant part:

(b) No action may be instituted or
maintained in the right of any corporation by any member of such corporation unless both of the following conditions exist:

(1) The plaintiff alleges in the
complaint that plaintiff was a member at the time of the transaction or any part thereof of which plaintiff complains; and

(2) The plaintiff alleges in the
complaint with particularity plaintiff’s efforts to secure from the board such action as plaintiff desires, or the reasons for not making such effort, and alleges further that plaintiff has either informed the corporation or the board in writing of the ultimate facts of each cause of action against each defendant or delivered to the corporation or the board a true copy of the complaint which plaintiff proposes to file.

(Corp.
Code, § 5710(b)(1)-(2).)

The

Court has no idea why Defendants cite to Corp. Code § 5710(b) for their standing argument.

The Court to hear argument as to why Defendants cite to Corp. Code § 5710(b).

The Court is unclear as to how Defendants are arriving at the conclusion that this is a derivative action, when by and large, it appears that Plaintiff is seeking damages as the Trustee of the Elliot and Selma Sax Living Trust, for damages Plaintiff sustained from Defendants allegedly defrauding her.

“Every action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute.” (CCP, § 367.)

As explained in Portico:

A trust itself cannot sue or be sued. (Presta v. Tepper (2009) 179 Cal.App.4th 909, 914, 102 Cal.Rptr.3d 12.) “As a general rule, the trustee is the real party in interest with standing to sue and defend on the trust's behalf. [Citations.]” (Estate of Bowles (2008) 169 Cal.App.4th 684, 691, 87 Cal.Rptr.3d 122.)

(Portico Management Group, LLC v. Harrison (2011) 202 Cal.App.4th 464, 473.)

In relevant part of The Rossdale Group, LLC:

The question for purposes of standing is not the name used by the party suing but whether the party suing is the party possessing the right sued upon. In this matter, there is no question plaintiff is the party injured by virtue of defendants’ actions and, therefore, she is the party possessing the right sued upon.

(The Rossdale Group, LLC v. Walton (2017) 12 Cal.App.5th 936, 945-946.)

Here, at the very least, it appears that Plaintiff, Selma Sax, Trustee of the Elliot and Selma Sax Living Trust, has standing to sue as the injured party by virtue of Defendants' alleged conduct.

Although the caption also mentions Selma Sax, "Derivatively as a Creditor On Behalf of One Athletics, Inc.," at the very least it appears that Plaintiff has standing to sue as the trustee.

"The subject matter of an action and the issues involved are determinable from the facts alleged rather than from the title of the pleading or the character of damage recovery suggested in connection with the prayer for relief." (Siciliano v. Fireman's Fund Ins. Co. (1976) 62 Cal.App.3d 745, 751 quoting Buxbom v. Smith, 23 Cal.2d 535, 542.)

On demurrer, a trial court has an independent duty to "determine whether or not the … complaint alleges facts sufficient to state a cause of action under any legal theory." (Das v. Bank of America, N.A. (2010) 186 Cal.App.4th 727, 734.)

In opposition, Plaintiff argues she has standing as the trustee.

Further in opposition, Plaintiff argues she has standing under Corporations Code § 6719 as a creditor of OAI.

Under Corp. Code § 6719:

(a) Whenever in the process of winding up a corporation any distribution of assets has been made, otherwise than under an order of court, without prior payment or adequate provision for payment of any of the debts and liabilities of the corporation, any amount so improperly distributed to any person may be recovered by the corporation. Any of such persons may be joined as defendants in the same action or be brought in on the motion of any other defendant.

(b) Suit may be brought in the name of the corporation to enforce the liability under subdivision (a) against any or all persons receiving the distribution by the Attorney General or by any one or more creditors of the corporation, whether or not they have reduced their claims to judgment.

(c) As used in this section, "process of winding up" includes proceedings under Chapters 15 (commencing with Section 6510) and 16 (commencing with Section 6610) and also any other distribution of assets to persons made in contemplation of termination or abandonment of the corporate business.

(Corp. Code, § 6719.)

Here, the Court to hear argument.

The Court does not understand how Plaintiff has standing under Corp. Code § 6719 when it appears that 6719(c) pertains to the process of winding up under Chapter 15 [Involuntary Dissolution] and Chapter 16 [Voluntary Dissolution].

This action does not appear to be for involuntary or voluntary dissolution.

In any event, it appears that Plaintiff at least has standing as a trustee.

The Court will likely find Defendants' standing argument to be unavailing, or, the Court will consider granting Plaintiff leave to amend if Plaintiff wants to amend/add/clarify her basis for standing.

First Cause of Action – Fraud and Deceit

Plaintiff's first cause of action is for fraud and deceit.

“ ‘The elements of fraud, which gives rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or “scienter”); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.’ “ (Small v. Fritz Companies, Inc. (2003) 30Cal.4th 167, 173 citing Lazar v. Superior Court (1996) 12 Cal.4th 631, 638.)

Fraud must be pleaded with specificity rather than with “‘general and conclusory allegations.’” (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.) The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made, and, in the case of a corporate defendant, the plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made. (Lazar v. Superior Court (1996)12 Cal.4th 631, 645.)

Although the Court can generally decipher that Plaintiff brings this action for being defrauded when Plaintiff lent/gave money for investments/loans, by and large, Plaintiff’s claim for fraud is entirely uncertain.

The first cause of action is located in ¶¶ 27-37 of the FAC. The first cause of action incorporates the prior 27 paragraphs in the FAC pertaining to the general allegations.

Those prior paragraphs [1-27] allege a vast assortment of conduct by Defendants – they mention loan agreements, investments, donations, alleged misrepresentations, alleged misuse of funds, several different sums of money, etc. (See FAC, ¶¶ 1-27.)

When reading both the general allegations [¶¶ 1-28] and the allegations pertaining to the first cause of action for fraud [¶¶ 27-37], it is not entirely clear what specific conduct by Defendants is the fraud that Plaintiff is suing Defendants for.

Here, the Court could sustain the demurrer based on failure to state facts sufficient to constitute a cause of action, and on grounds of uncertainty, and the Court would grant leave to amend.

To avoid confusion, it would help if Plaintiff's complaint identified each misrepresentation Plaintiff is suing for, and for each misrepresentation, it would help if Plaintiff alleged each element required to plead a cause of action for fraud. (See above re: Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 173 and Lazar v. Superior Court (1996) 12 Cal.4th 631, 638.)

Second Cause of Action – Breach of Implied Written Contract

Defendants demur to the second cause of action for breach of implied written contract.

Despite the fact that Defendants demur on the basis of failure to state facts sufficient to constitute a cause of action, Defendants do not once cite to legal authority as to what elements must be alleged to sufficiently state a claim for breach of contract.

Defendants make an assortment of arguments as to what is, or is not alleged, yet fail to cite to authority stating that those things must be alleged.

Defendants also make an argument about Defendants not being a proper party, but Defendants provide zero legal authority supporting their argument.

Plaintiff's opposition, and Defendants' reply, are both incomprehensible as to what must be alleged at the pleading stage and how Plaintiff did or did not allege as such.

Since both parties' arguments are incomprehensible and not supported by legal authority, the Court plans to SUSTAIN the demurrer to the second cause of action with leave to amend GRANTED.

The Court notes the following below, just in case the parties find it helpful.

A cause of action for breach of contract is subject to demurrer if "it cannot be ascertained from the pleading whether the contract is written, is oral, or is implied by conduct." (Code Civ. Proc., §430.10(g).)

To state a cause of action for breach of contract, Plaintiff must allege "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) resulting damages to the plaintiff." (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

A written contract must be pled verbatim in the body of the complaint, be attached to the complaint and incorporated by reference, or be pled according to its legal effect. (Bowden v. Robinson (1977) 67 Cal.App.3d 705, 718.)

An allegation of an oral agreement must "set[] forth the substance of its relative terms." (Gautier v. General Tel. Co. (1965) 234 Cal.App.2d 302, 305.)

Here, as an initial matter, based on the title of the second cause of action being for a claim for "breach of implied written contract," and based on the allegations in the second cause of action [¶¶ 38-43], it is entirely unclear if the contract is written, oral, or implied by conduct.

Further, it is unclear if this claim is based on a singular contract, or many contracts, and it is unclear what the contact, or contracts, are.

If this cause of action was supposed to be for a written contract, Plaintiff does not plead the contract verbatim, or attach it and incorporate it by reference, or plead it according to its legal effect.

If this cause of action was supposed to be for an oral agreement, Plaintiff did not set forth the substance of its relative terms.

It appears that Defendants' demurrer, for failure to state facts sufficient to constitute a cause of action, directed at the second cause of action, can be sustained with leave to amend granted.

Third Cause
of Action – Breach of Implied Covenant of Good Faith and Fair Dealing

Plaintiff's
third cause of action is for breach of implied covenant of good faith and fair dealing.

Defendants' and
Plaintiff's arguments regarding the third cause of action are difficult to decipher, and on many occasions their arguments are unsupported by legal authority.

"Every
contract imposes upon each party a duty of good faith and fair dealing in its performance and its enforcement." (Hicks v. E.T. Legg & Associates (2001) 89 Cal.App.4th 496, 508.) "It is universally recognized the scope of conduct prohibited by the covenant of good faith is circumscribed by the purposes and express terms of the contract." (Id. at 509.)

"The
covenant of good faith and fair dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party's right to receive the benefits of the agreement actually made." (Guz v. Bechtel (2000) 24 Cal.4th 317, 349.)

Under Merced
Irr. Dist. v. County of Mariposa :

Under
California law, to allege a claim for breach of the covenant of good faith and fair dealing, a plaintiff must allege the following elements: (1) the plaintiff and the defendant entered into a contract; (2) the plaintiff did all or substantively all of the things that the contract required him to do or that he was excused from having to do so; (3) all conditions required for the defendant's performance had occurred; (4) the defendant unfairly interfered with the plaintiff's right to receive the benefits of the contract; and (5) the defendant's conduct harmed the plaintiff. See Judicial Counsel

of California Civil Jury Instructions § 325 (2013); see also Reinhardt v. Gemini Motor Transport, 879 F.Supp.2d 1138, 1145 (E.D.Cal.2012).

(Merced Irr. Dist. v. County of Mariposa (E.D. Cal. 2013) 941 F.Supp.2d 1237, 1280, discussing California law.)

"[T]he implied covenant of good faith and fair dealing is limited to assuring compliance with the express terms of the contract, and cannot be extended to create obligations not contemplated by the contract.'" (Ragland v. U.S. Bank Nat. Assn. (2012) 209 Cal.App.4th 182, 206 (quoting Pasadena Live v. City of Pasadena (2004) 114 Cal.App.4th 1089, 1094).)

A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that bad faith implies unfair dealing rather than mistaken judgment. (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394.)

Here, the Court plans to sustain Defendants' demurrer to the third cause of action (breach of implied covenant of good faith and fair dealing), for failure to state facts sufficient to constitute a cause of action, because at the very least Plaintiff did not successfully allege a claim for the underlying breach of contract in the second cause of action. Leave to amend is granted.

Fourth Cause of Action – Financial Elder Abuse
[Welfare & Institutions Code § 15610.30]

Plaintiff's fourth cause of action is for Financial Elder Abuse [Welfare & Institutions Code § 15610.30].

Defendants argue as follows:

The Fourth cause of action for financial abuse under Welfare and Institutions Code section 15610.30 et al., cannot be brought on behalf of a trust, and cannot maintained by the nonprofit through which Plaintiff Trustee brings this action. A trust is not an elder protected by the Welfare and Institutions Code. Plaintiff Trustee has not sued in her individual capacity, thus she has no standing to bring this cause of action, as Elder Abuse claims must be brought by or on behalf of a qualifying individual. Not a trust. (Id.)

(Def. Memo., p. 11.)

Here, the Court does not understand Defendants' arguments because Defendants provide zero legal authority or support for their arguments.

Since Defendants provided zero legal authority to support their argument, it appears that the Court could OVERRULE the demurrer to the fourth cause of action; however, the Court will hear argument, because the Court could potentially SUSTAIN with leave to amend GRANTED if Plaintiff wants to amend this claim.

Fifth Cause of Action – For Damages and Writ or Possession and Temporary Restraining Order for Wrongful Receipt of Fraudulent Distributions in Violation of Corporations Code § 6719

Plaintiff's fifth cause of action is For Damages and Writ or Possession and Temporary Restraining Order for Wrongful Receipt of Fraudulent Distributions in Violation of Corporations Code § 6719.

Defendants argue that this claim fails because the trust on which the Plaintiff Trustee has an adequate remedy at law.

The Court has no idea what Defendants are saying.

Defendants also argue that the FAC does not allege that OAI is winding down its operations pursuant to Corporations Code section 6719.

Plaintiff alleges it successfully stated a claim because it alleged that Defendants engaged in the unlawful distribution of OAI's assets in violation of Corporations Code § 6719. (See FAC, ¶ 57.)

The Court to hear argument.

Below, the Court cites Corporations Code § 6719.

Under
Corp. Code § 6719:

(a) Whenever in the process of
winding up a corporation any distribution of assets has been made, otherwise than under an order of court, without prior payment or adequate provision for payment of any of the debts and liabilities of the corporation, any amount so improperly distributed to any person may be recovered by the corporation. Any of such persons may be joined as defendants in the same action or be brought in on the motion of any other defendant.

(b) Suit may be brought in the
name of the corporation to enforce the liability under subdivision (a) against any or all persons receiving the distribution by the Attorney General or by any one or more creditors of the corporation, whether or not they have reduced their claims to judgment.

(c) As used in this section,
"process of winding up" includes proceedings under Chapters 15 (commencing with Section 6510) and 16 (commencing with Section 6610) and also any other distribution of assets to persons made in contemplation of termination or abandonment of the corporate business.

(Corp.
Code, § 6719.)

The
Court will hear argument because neither party explains what must be alleged for this cause of action. Both parties' arguments are incomprehensible.

Sixth Cause
of Action – Conversion of Corporate Assets

Plaintiff's
sixth cause of action is for conversion of corporate assets.

Neither party
provides arguments on the sixth cause of action.

The Court will likely either OVERRULE since neither party provides arguments, or the Court will SUSTAIN with leave to amend GRANTED.

Seventh Cause of Action – Breach of Fiduciary Duty

Plaintiff's seventh cause of action is for breach of fiduciary duty.

Defendants argue:

Defendants demur to the Seventh Cause of Action under Code of Civil Procedure Section 430.01, subdivision (e) because it fails to state facts sufficient to constitute a cause of action against Defendants in that Defendants do not owe fiduciary duties to Selma Sax or the Trust. Plaintiff alleges that the individual defendants owed a fiduciary to "OAI and to Plaintiff." (FAC ¶ 70.) Plaintiff is not suing in her individual capacity, nor was she a member of OAI, thus she can cannot bring a claim for breach of fiduciary duties to her personally or on behalf of the Trust. This cause of action also fails to state claims against Mr. S. Brosnan as he is not alleged to be member of the board of directors and would not have owed the corporation a fiduciary duty.

(Def. Memo., p. 12.)

As can be seen above, Defendants provide zero legal authority to support their arguments.

The Court to hear argument. Since Defendants don't provide legal authority to support their arguments, the Court will likely either OVERRULE the demurrer to this cause of action, or the Court will SUSTAIN with Leave to amend.

Eighth Cause of Action – Unfair Business Practices [Bus. & Prof. Code § 17200]

Plaintiff's eighth cause of action is

for Unfair Business Practices [Bus. & Prof. Code § 17200].

Defendants provide zero legal authority as to what must be alleged to sufficiently state a claim for Violation of Unfair Business Practices (Bus. & Prof. Code § 17200).

Defendants makes a number of arguments, but it is unclear as to the legal significance of Defendants' arguments.

Defendants argue that Plaintiff does not allege unfair practices committed by Defendants.

At the very least, Defendants' argument that Plaintiff fails to allege unfair practices committed by Defendants, is unavailing.

Plaintiff alleges unfair practices in ¶ 77 of the FAC.

"The balancing test required by the unfair business practice prong of section 17200 is fact intensive and is not conducive to resolution at the demurrer stage. '[U]nfairness' is an equitable concept that cannot be mechanistically determined under the relatively rigid legal rules applicable to the sustaining or overruling of a demurrer." (Progressive West Ins. Co. v. Superior Court (2005) 135 Cal.App.4th 263, 287 citing Schnall v. Hertz Corp. (2000) 78 Cal.App.4th 1144, 1167.)

The Court to hear argument. It appears as if the Court could OVERRULE Defendants' demurrer to the eighth cause of action because Plaintiff alleges a violation under the unfair prong of 17200. Alternatively, the Court could sustain with leave to amend granted if Plaintiff wants to add further allegations to appease Defendants.

Ninth Cause of Action – Accounting and Appointment of Receiver

Plaintiff's ninth cause of action is for Accounting and Appointment of Receiver.

Defendants argue that Plaintiff's claim

for accounting fails because Plaintiff does not allege OAI is winding down its operations pursuant to Corp. Code § 6719.

Here, the Court to hear argument.

“A cause of action for accounting requires a showing of a relationship between the plaintiff and the defendant, such as a fiduciary relationship, that requires an accounting or a showing that the accounts are so complicated they cannot be determined through an ordinary action at law.” (Fleet v. Bank of America N.A. (2014) 229 Cal.App.4th 1403, 1413.) “‘An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation.’” (Id. (quoting Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179).)

The Court has no idea why Defendants argue that Plaintiff does not allege OAI is winding down its operations pursuant to Corp. Code § 6719.

Does Plaintiff have to allege that OAI is winding down its operations pursuant to Corp. Code §6719 in order to state a claim for accounting?

The Court is unclear as to why Defendants make arguments about Corp. Code § 6719 when this is a cause of action for accounting.

The Court to hear argument. The Court does not see allegations from Plaintiff that the accounts are so complicated they cannot be determined through an ordinary action. Neither party provides arguments as to what must be alleged for appointment of receiver. If the Court sustains the demurrer on this cause of action, it plans to grant leave to amend.

Tenth Cause of Action – Declaratory Relief

Plaintiff’s tenth cause of action is for declaratory relief.

Defendants continue to argue that Plaintiff does not allege that Defendants are winding up a corporation as defined in Corp. Code § 6719.

The Court to hear argument.

The Court has no idea why Defendants are arguing that Plaintiff must allege that Defendants are winding up a corporation as defined in Corp. Code § 6719.

It is entirely unclear what Corp. Code § 6719 has to do with sufficiently stating a claim for declaratory relief.

Under CCP § 1060:

Any person interested under a written instrument, excluding a will or a trust, or under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property, or with respect to the location of the natural channel of a watercourse, may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract. He or she may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time. The declaration may be either affirmative or negative in form and effect, and the declaration shall have the force of a final judgment. The declaration may be had before there has been any breach of the obligation in respect to which said declaration is sought.

(CCP, § 1060.)

The Court to hear argument. It appears that Plaintiff stated facts sufficient to state a claim for declaratory relief. The Court will either OVERRULE the demurrer, or alternatively, the Court can SUSTAIN with leave to amend GRANTED if Plaintiff wants to amend allegations to appease Defendants.

Request for Judicial Notice

Defendants’ request for judicial notice is GRANTED; the truth of the matters therein are not deemed true.

Case Number: ¿26NNCV00677 Hearing Date: August 21, 2026 Dept: E

Hearing Date: 08/21/2026 – 8:30
a.m.

Case No.¿26NNCV00677

Trial Date: UNSET

Case Name: DAVID RIGGIO v.
KATHERINE DUNGAN, et al.

TENTATIVE RULING – ANTI-SLAPP

PROCEDURAL

Moving
Party: Cross-Defendant, David Riggio

Responding
Party: Cross-Complainant, Katherine Dungan

Moving
Papers: Notice/Motion; Request for Judicial Notice; Proof of Service

Opposing
Papers: Opposition; Request for Judicial Notice; Declaration of Katherine
Dungan; Proof of Service; Declaration of Joshua C. Greer

Reply
Papers: Declaration of David Riggio/Memorandum; Proof of Service

RELIEF REQUESTED¿

Cross-Defendant, David Riggio, moves for an order
striking (anti-SLAPP) the following portions of the Cross-Complaint:

(1) all
allegations commencing at page 12, line 7, through page 14, line 20, including
paragraphs 72 through 84, in their entireties;; or alternatively:

(2) paragraph 75 in its entirety at page 13, lines 14-16; and/or

(3) paragraph 76 in its entirety at page 13, lines 17-20; and/or

(4) paragraph 77 in its entirety at page 13, lines 21-23; and/or

(5) paragraph in its entirety at page 13, lines 24-27; and/or

(6) paragraph 79 in its entirety at page 13, line 28 through page 14, line 1; and/or

(7) paragraphs 80 through 81, on page 14, lines through 7; and

(Mot., p. 2.)

Cross-Defendant also moves for an order awarding expenses, including attorney's fees, pursuant to CCP § 425.16.

Cross-Defendant moves pursuant to CCP § 425.16 upon the ground that said portions of the Cross-Complaint arise from Cross-Defendant's right to petition.

BACKGROUND

Plaintiff, David Riggio, filed a complaint for unlawful detainer on 1/29/2026 against Defendants, Katherine Dungan and Michael D. Dungan.

On 6/9/2026, Cross-Complainant, Katherine Dungan, filed a cross-complaint against Cross-Defendant, David Riggio, for:

(1) Negligence;

(2) Constructive Eviction;

(3) Premises Liability;

(4) Breach of Implied Warranty of Habitability;

(5) Breach of Covenant of Quiet Enjoyment;

(6) Breach of Covenant of Good Faith and Fair Dealing;

(7) Breach of Contract;

(8) Nuisance;

(9) Negligence Per Se;

(10) Violation of the City of Los Angeles Tenant Anti-Harassment Ordinance;

(11) Violation of Cal. Civ Code § 1950.5.

In short, Cross-Complainant's (Katherine Dungan) cross-complaint alleges that Dungan resided at Cross-Defendant (landlord's) premises and that Cross-Defendant landlord failed to maintain the premises in a habitable condition and these hazardous conditions impacted Cross-Complainant's health and wellbeing. (See Cross-Compl., ¶¶ 10-18.)

Cross-Defendant, David Riggio, moves to strike, pursuant to the anti-SLAPP statute (CCP § 425.16), paragraphs 72-84 in Dungan's cross-complaint.

Alternatively, Cross-Defendant, moves to strike paragraphs 75, 76, 77, 78, 79, and/or 80.

LEGAL STANDARD – Anti-SLAPP

"A SLAPP suit – a strategic lawsuit against public participation – seeks to chill or punish a party's exercise of constitutional rights to free speech and to petition the government for redress of grievances. [Citation.] The Legislature enacted Code of Civil Procedure section 425.16—known as the anti-SLAPP statute—to provide a procedural remedy to dispose of lawsuits that are brought to chill the valid exercise of constitutional rights. [Citation.]" (Neville v. Chudacoff (2008) 160 Cal.App.4th 1255, 1261 citing Rusheen v. Cohen (2006) 37 Cal.4th 1048, 1055-1056.)

Code of Civil Procedure, section 425.16, provides that

A cause of action against a person arising from any act of that person in furtherance of the person's right of petition or free speech under the United States Constitution or the California Constitution in connection with a public issue shall be subject to a special motion to strike, unless the court determines that the plaintiff has established that there is a probability that the plaintiff will prevail on the claim.

(Code Civ. Proc. (CCP), § 425.16(b)(1).)

As explained in Equilon Enterprises v. Consumer Cause, Inc.:

Section 425.16, subdivision (b)(1) requires the court to engage in a two-step process. First, the court decides whether the defendant has made a threshold showing that the challenged cause of action is one arising from protected activity. The moving defendant's burden is to demonstrate that the act or acts of which the plaintiff complains were taken "in furtherance of the [defendant]'s right of petition or free speech under the United States or California Constitution in connection with a public issue," as defined in the statute. (§ 425.16, subd. (b)(1).) If the court finds such a showing has been made, it then determines whether the plaintiff has demonstrated a probability of prevailing on the claim.

(Equilon Enterprises v. Consumer Cause, Inc. (2002) 29 Cal.4th 53, 67.)

Further, under CCP § 425.16(e), an:

"act in furtherance of a person's right of petition or free speech under the United States or California Constitution in connection with a public issue" includes: (1) any written or oral statement or writing made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law, (2) any written or oral statement or writing made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law, (3) any written or oral statement or writing made in a place open to the public or a public forum in connection with an issue of public interest, or (4) any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional right of free speech in connection with a public issue or an issue of public interest.

(CCP § 425.16(e).)

TENTATIVE RULING

Cross-Defendant, David Riggio, moves to strike ¶¶ 72-84 in Cross-Complainant, Katherine Dungan's, cross-complaint.

Cross-Defendant argues that ¶¶ 72-84 in the cross-complaint are subject to an anti-SLAPP motion because the allegations in those paragraphs arise out of alleged prior litigation between the parties.

Specifically, Cross-Defendant argues that the allegations in ¶¶ 72-84 of the cross-complaint arise out of Cross-Defendant/Plaintiff's filing of the complaint in this action for unlawful detainer.

For the reasons explained below, the Court does not find Cross-Defendant's argument availing.

First Prong

As a preliminary matter, the Court acknowledges that paragraphs 72-84 of the cross-complaint refer to Cross-Defendant/Plaintiff's unlawful detainer action.

Further, the Court acknowledges the expansive nature of what constitutes litigation-related activities within the scope of 425.16.

"The anti-SLAPP protection for

petitioning activities applies not only to the filing of lawsuits, but extends to conduct that relates to such litigation, including statements made in connection with or in preparation of litigation. [Citation.] Indeed, courts have adopted ‘a fairly expansive view of what constitutes litigation-related activities within the scope of section 425.16.’ [Citation.]” (Kolar v. Donahue, McIntosh & Hammerton (2006) 145 Cal.App.4th 1532, 1537; see also Rusheen v. Cohen (2006) 37 Cal.4th 1048, 1056 [anti-SLAPP statute protects “communicative conduct such as the filing, funding, and prosecution” of a legal action].)

Further, the Court acknowledges that there are an extensive number of California cases that hold that claims arising from prosecution of an unlawful detainer action are protected by the anti-SLAPP statute.

“The prosecution of an unlawful detainer action indisputably is protected activity within the meaning of section 425.16.” (Feldman v. 1100 Park Lane Associates (2008) 160 Cal.App.4th 1467, 1479.)

Problematic with Cross-Defendant’s argument is that the fourth through eleventh causes of action in the cross-complaint do not “arise”/are not “based on” Cross-Defendant’s filing of the complaint/unlawful detainer action.

A SLAPP suit is “a meritless lawsuit ‘filed primarily to chill the defendant’s exercise of First Amendment rights.’” (Medical Marijuana, Inc. v. ProjectCBD.com (2020) 46 Cal.App.5th 869, 881 quoting Paul v. Friedman (2002) 95 Cal.App.4th 853, 861.)

A court’s consideration of an anti-SLAPP motion involves a two-pronged analysis. (Medical Marijuana, Inc. v. ProjectCBD.com (2020) 46 Cal.App.5th 869, 882 citing Episcopal Church Cases (2009) 45 Cal.4th 467, 477.)

First, the defendant must identify the activity each challenged claim rests on and demonstrate that that activity is protected by the anti-SLAPP statute. (Olivares v. Pineda (2019) 40 Cal.App.5th 343, 351 citing Park v. Board of Trustees of California State University (2017) 2 Cal.5th 1057, 1061.) To determine whether a claim arises from protected activity, courts must consider the elements of the challenged claim and what actions by the defendant supply those elements and consequently form the basis for liability, and then evaluate whether the defendant has shown any of these actions fall within the categories of acts protected by the anti-SLAPP statute. (Olivares v. Pineda (2019) 40 Cal.App.5th 343, 351 citing Park v. Board of Trustees of California State University (2017) 2 Cal.5th 1057, 1063.)

"Our focus is on the principal thrust or gravamen of the causes of action, i.e., the allegedly wrongful and injury-producing conduct that provides the foundation for the claims." (Castleman v. Sagaser (2013) 216 Cal.App.4th 481, 490-491.)

Here, as a preliminary matter, the location of the paragraphs within the cross-complaint that Cross-Defendant seeks to strike appear to be relevant.

Cross-Defendant seeks to strike paragraphs 72-84 of the cross-complaint.

Paragraphs 72-84 are alleged after the first through third causes of action [which are alleged in paragraphs 1-64]; however, paragraphs 72-84 are alleged before the fourth through eleventh causes of action [which are alleged in paragraphs 90-168].

Paragraphs 72-84 are located in a section in the cross-complaint entitled "Factual Allegations for Fourth Through Eleventh Causes of Action." This section entitled "Factual Allegations for Fourth Through Eleventh Causes of Action" spans paragraphs 65-89, and is located before the allegations for the fourth cause of action that begins at paragraph 90.

This section entitled ""Factual Allegations for Fourth Through Eleventh Causes of Action," which paragraphs 72-84 are a part of, appears to be general allegations that precede the fourth through eleventh causes of action, but are incorporated into the fourth through eleventh causes of action.

Further here, although paragraphs 72-84 are technically later/generally incorporated into the fourth through eleventh causes of action [alleged in paragraphs 90-168], Cross-Defendant doesn't identify any conduct/paragraphs/allegations he seeks to strike that are actually located in the fourth through eleventh causes of action.

“The defendant's burden is to identify what acts each challenged claim rests on and to show how those acts are protected under a statutorily defined category of protected activity.” (Bonni v. St. Joseph Health System (2021) 11 Cal.5th 995, 1009 citing Wilson v. Cable News Network, Inc. (2019) 7 Cal.5th 871, 884.)

The Court points out and stresses the location of the paragraphs that Cross-Defendant seeks to strike because paragraphs 72-84 appear to merely provide context for the fourth through eleventh causes of action and do not appear to be the basis for Cross-Complainant’s claims for recovery.

“Although the fourth cause of action incorporates all prior paragraphs of the first amended complaint, the incorporated allegations of protected activity merely provide context and are not the basis for plaintiffs' claim for recovery under Civil Code section 1950.5.” (Olivares v. Pineda (2019) 40 Cal.App.5th 343, 352.)

Here, although paragraphs 72-84 of the cross-complaint mention cross-defendant/plaintiff’s unlawful detainer action, the allegations in paragraphs 72-84 are not the basis for Cross-Complainant’s claims for recovery in the fourth through eleventh causes of action. The allegations in paragraphs 72-84 merely provide context for the fourth through eleventh causes of action.

“Allegations of protected activity that merely provide context, without supporting a claim for recovery, cannot be stricken under the anti-SLAPP statute.” (Baral v. Schnitt (2016) 1 Cal.5th 376, 394.)

“Our focus is on the principal thrust or gravamen of the causes of action, i.e., the allegedly wrongful and injury-producing conduct that provides the foundation for the claims.” (Castleman v. Sagaser (2013) 216 Cal.App.4th 481, 490-491.)

Here, when examining the wrongful and injury producing conduct that provides the foundation for the fourth through eleventh causes of action, the gravamen of the causes of action is the Cross-Defendant's (landlord) alleged conduct in relation to Cross-Defendant landlord's failure to maintain habitable living conditions as a landlord.

Not only do the unlawful detainer references in ¶¶ 72-84 not appear to form the basis for liability of the fourth through eleventh causes of action, but Cross-Defendant does not identify any specific paragraphs/allegations within the fourth through eleventh causes of action that Cross-Defendant seeks to strike. The only paragraphs Cross-Defendant identifies that he seeks to strike are paragraphs 72-84, which precede the fourth through eleventh causes of action.

Since Cross-Defendant did not meet the required showing that ¶¶ 72-84 arise from protected activity, because ¶¶ 72-84 appear to provide context, the burden did not shift to Cross-Complainant to demonstrate the merit of the claims by establishing a probability of success.

Cross-Defendant's special motion to strike is DENIED.

Cross-Defendant's and Cross-Complainant's requests for judicial notice are GRANTED.

Cross-Defendant seeks attorney's fees if he prevails on this motion.

Under CCP § 425.16(c)(1):

Except as provided in paragraph (2), in any action subject to subdivision (b), a prevailing defendant on a special motion to strike shall be entitled to recover that defendant's attorney's fees and costs. If the court finds that a special motion to strike is frivolous or is solely intended to cause unnecessary delay, the court shall award costs and reasonable attorney's fees to a plaintiff prevailing on the motion, pursuant to Section 128.5.

(CCP § 425.16(c)(1).)

The Court to hear argument on attorney's fees.

The Court does not plan to award Cross-Defendant attorney's fees because Cross-Defendant did not prevail on this motion.

In opposition, Cross-Complainant argues that Cross-Defendant's motion is frivolous under CCP § 128.5 because Cross-Defendant had no reasonable basis to bring the motion. Cross-Complainant requests that the Court find this motion frivolous and allow Cross-Complainant to move separately for their attorney's fees in fighting this motion.

In reply, Cross-Defendant asserts many arguments regarding Cross-Complainant's arguments on sanctions; however, the Court does not understand Cross-Defendant's arguments in reply on sanctions.

The Court to hear argument on sanctions/attorney's fees.